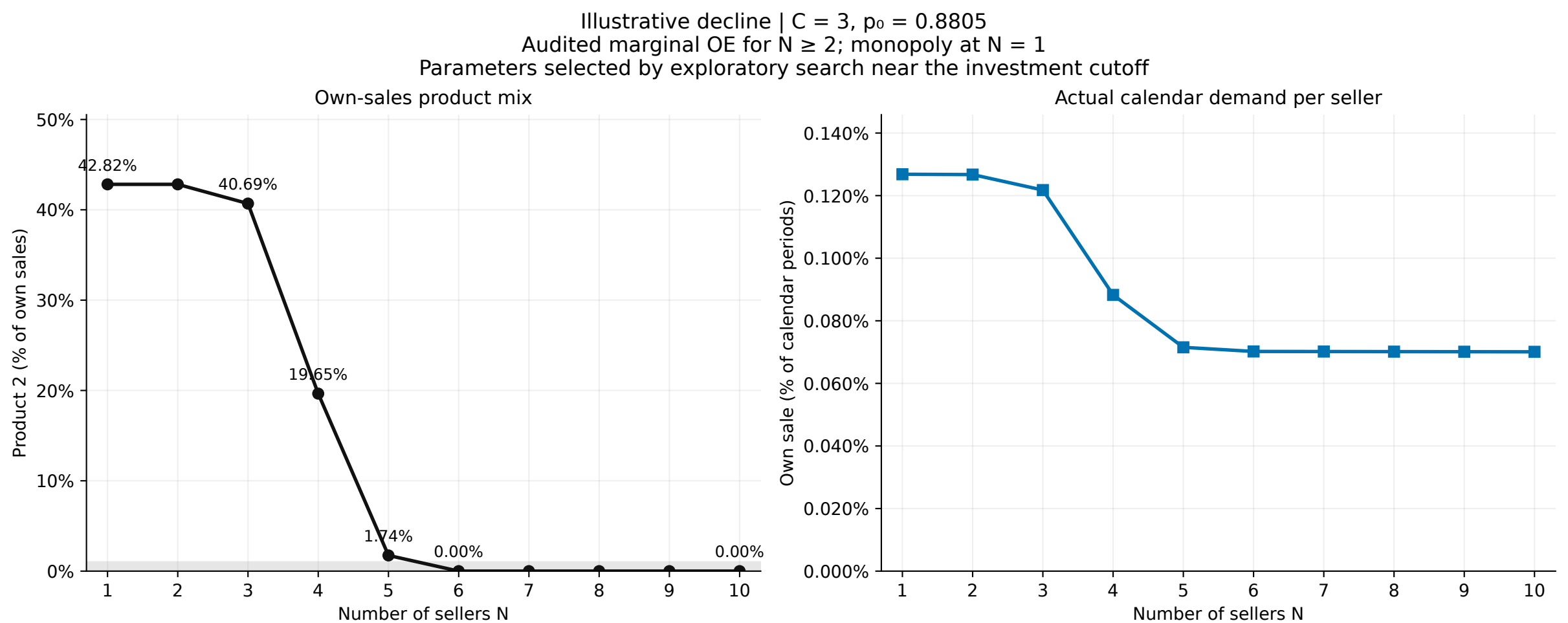
Illustrative decline | C = 3, p₀ = 0.8805
Audited marginal OE for N ≥ 2; monopoly at N = 1
Parameters selected by exploratory search near the investment cutoff
Own-sales product mix
Product 2 (% of own sales)
50%
40%
30%
20%
10%
0%
42.82%
40.69%
19.65%
1.74%
0.00%
0.00%
1
2
3
4
5
6
7
8
9
10
Number of sellers N
Actual calendar demand per seller
Own sale (% of calendar periods)
0.140%
0.120%
0.100%
0.080%
0.060%
0.040%
0.020%
0.000%
1
2
3
4
5
6
7
8
9
10
Number of sellers N